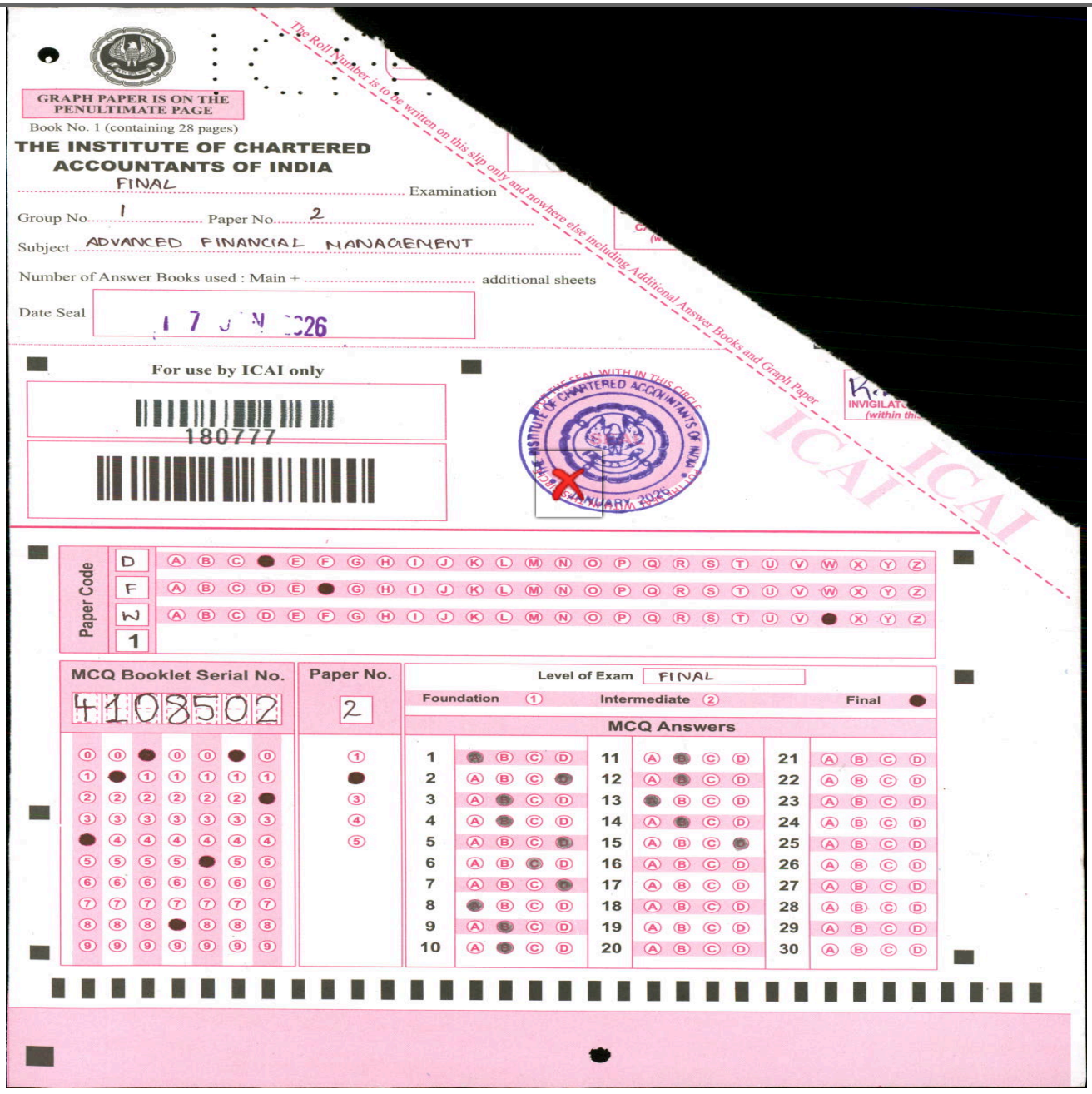
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Code:	**FN2AF180777**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



The Institute of Chartered Accountants of India

Code: FN2AF180777 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 44

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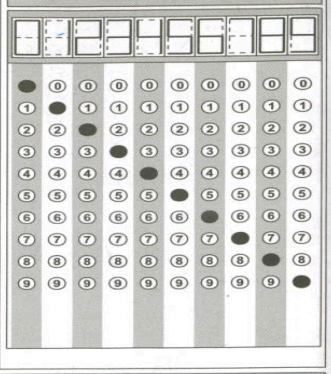
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Sri", "Jesus", "786", etc., will tantamount to adoption of "unfair means"

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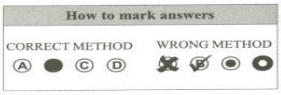
Illustration for Filling the MCQ Booklet Serial No.



INSTRUCTIONS TO THE CANDIDATE FOR FILLING THE MCQ ANSWER FIELDS

1. Use Only **H.B. Pencil to Darken the appropriate Circle.**
2. Write and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation. In case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.
3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2	●	9	
3	✓	10	
4	✓	11	
5	✓	12	
6	✓	13	
7		14	
Total		Total	●

03

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3(a)

Purchased May futures (125 shares) 7750

Writing May call option : SP 7790 Premium - ₹ 30
(lot of 125 shares)

(i) Profit / loss of futures contract

Original position : ~~Sell~~ Buy	7750	
Reversal position : ~~Buy~~ Sell	7780	
Profit / (loss)	30	
no. of shares in contract	125	
Gross profit	3750	
↪ Brokerage paid to buy	193.75	(7750 × 125 × 0.02%)
~~Net profit~~	3556.25	
↪ Brokerage paid to sell	194.5	(7780 × 125 × 0.02%)
Net profit	3,361.75	

3aStep1 2

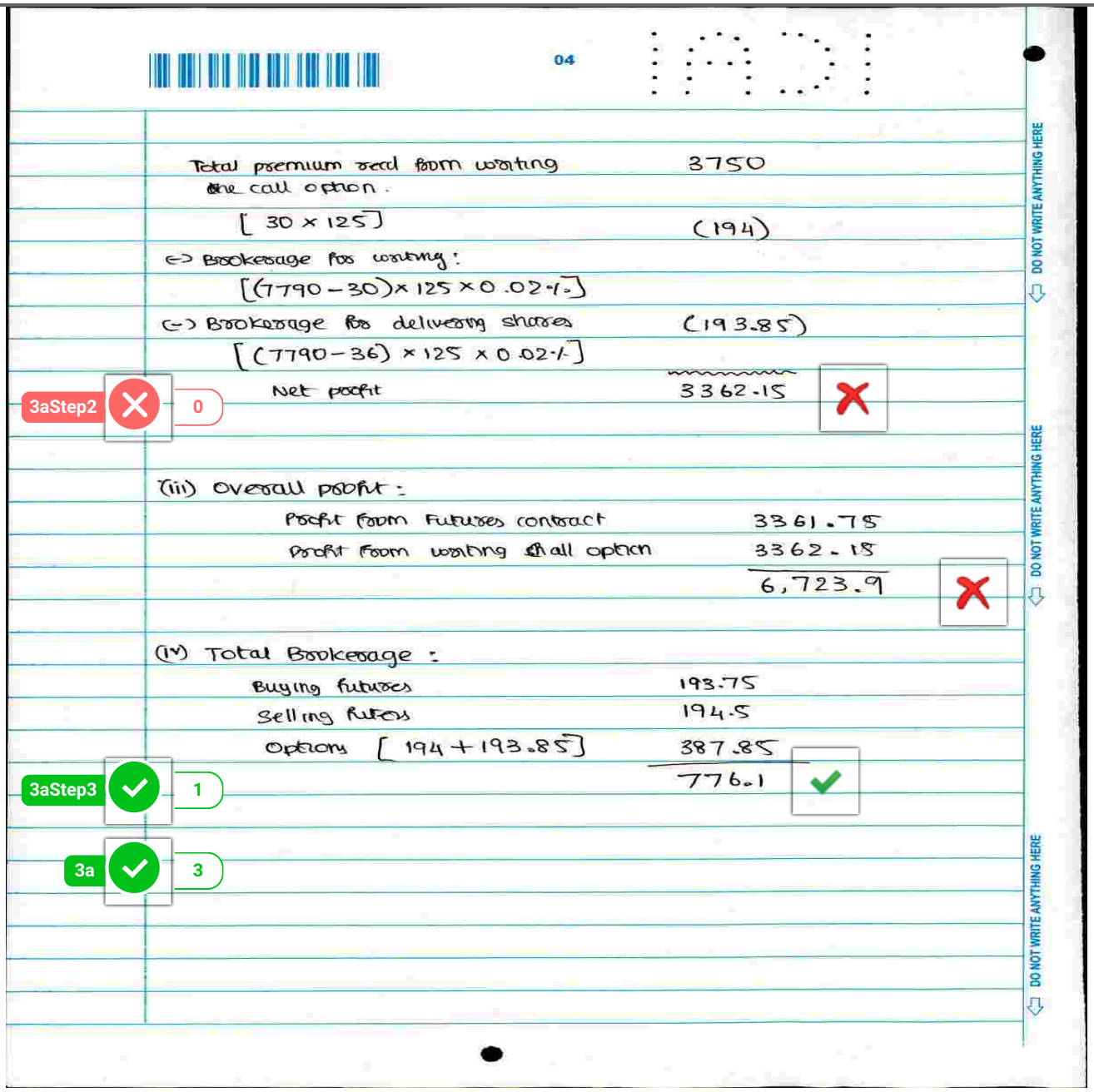
(ii). Profit / loss - Options contract: [call written]

SP	AP	A(CH)	Premium
7790	*AP>SP	Exercise	30

Since, the spot price has been raised (given in Question) it is assumed that the call holder has exercised the option. So, Being call writer we need to sell the shares.

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04

Total premium recd from writing the call option.
[30 × 125] 3750

↳ Brokerage for writing:
[(7790 − 30) × 125 × 0.02%] (194)

↳ Brokerage for delivering shares
[(7790 − 36) × 125 × 0.02%] (193.85)

Net profit 3362.15

3aStep2 0

(iii) Overall profit:

Profit from Futures contract	3361.75
Profit from writing of call option	3362.15
	6,723.9

(iv) Total Brokerage:

Buying futures	193.75
Selling futures	194.5
Options [194 + 193.85]	387.85
	776.1

3aStep3 1

3a 3

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05

3(b)

1 GBP = EURO 1.2950 – EURO 1.2965
1 GBP = USD 1.6025 – USD 1.6060
1 EURO = USD 1.2375 – USD ~~1.9000~~ 1.2390

(i) calculation Bid (€/GBP)

= Bid (EURO/USD) × Bid (USD/GBP)

= $\frac{1}{\text{Ask (USD/EURO)}}$ × Bid (USD/GBP)

= $\frac{1}{1.2390}$ × 1.6025

= 1.2934 ✔

calculation of Ask (EURO/GBP)

= Ask (EURO/USD) × Ask (USD/GBP)

= $\frac{1}{\text{Bid (USD/EURO)}}$ × Ask (USD/GBP)

= $\frac{1}{1.2375}$ × 1.6060

= 1.2978 ✔

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06

Cross rates:

(EURO/GBP)

1 GBP = EURO 1.2934 – EURO 1.2978

ii).

a). Buy Pound against EURO under direct Quote. € 1.2965

Selling Pound in cross rate € 1.2934

∴ loss € 0.0031

∴ If we buy Pound against EURO in direct Quote and sell in cross quote we are end up with loss of € 0.0031 per pound. Hence it is proved that arbitrage not possible.

b). Sell pound against EURO in direct Quote € 1.2950

Buy pound in cross rate € 1.2978

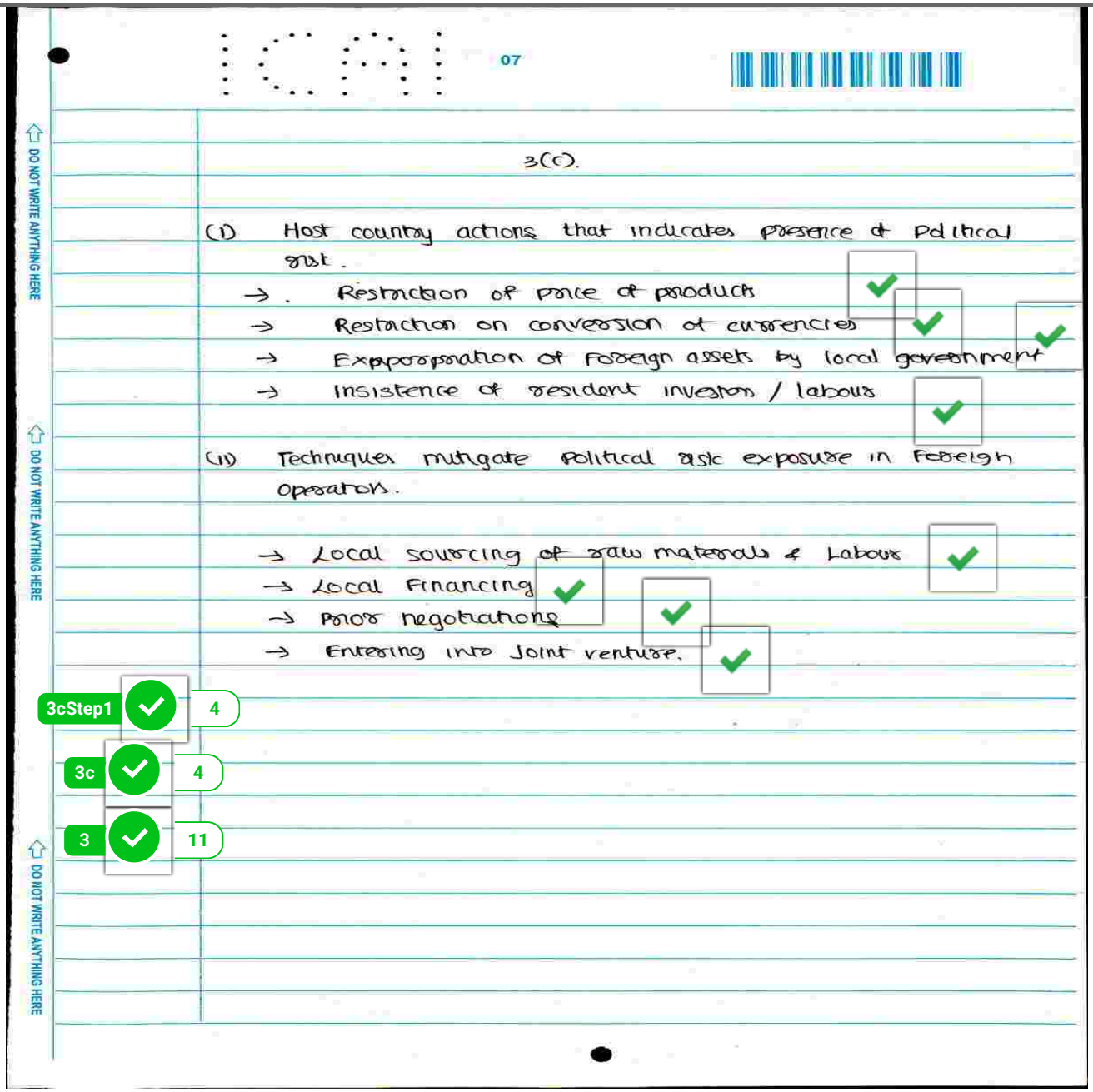
loss per pound € 0.0028

Even buying Pound in cross rates and selling in direct Quote we result in loss of €0.0028 per pound ∴ Arbitrage not possible.

3bStep1 4

3b 4

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07

3(c).

(i) Host country actions that indicates presence of Political risk.

→ Restriction of price of products
→ Restriction on conversion of currencies
→ Expropriation of foreign assets by local government
→ Insistence of resident investor / labours

(ii) Techniques mitigate political risk exposure in foreign operations.

→ Local sourcing of raw materials & Labour
→ Local Financing
→ Prior negotiations
→ Entering into Joint venture.

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3cStep1 4
3c 4
3 11

08

4(a)

(i) AB ltd – Borrower

* Since being a borrower AB ltd's risk is increasing in interest rate.
* To limit the interest rate. ie capping the interest rate it should buy interest rate Options. [Holding]
  So, call
  In this case, AB ltd borrowing rate is PLR+0.5%. by buying a interest rate call option (SP 8%) It has can cap its interest paid at 8+0.5%. whatever may be the interest rate.

XY ltd – Depositor:

* Being a depositor, XY ltd's risk is fall in interest rate.
* To mitigate this risk it should buy Put option.
* In this case XY ltd. lending rate is PLR−0.5%. By purchasing a put option it has ensure that his interest income will not be less than 7.5% (8−0.5%)

4aStep1 0

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09

ii) Premium paid :

AB ltd : 5 million × 0.4 %. = 0.02 Million
i.e ₹ 20 000

XY ltd : 2 million × 0.5 %. = 0.01 million
i.e ₹ 10,000

iii)

AB ltd : SP – 8 %. p.a
AR – 10 %. p.a.

∴ Amount to be recd : 50 00 000 × [10 – 8 %.] × 12/12
= 100 000

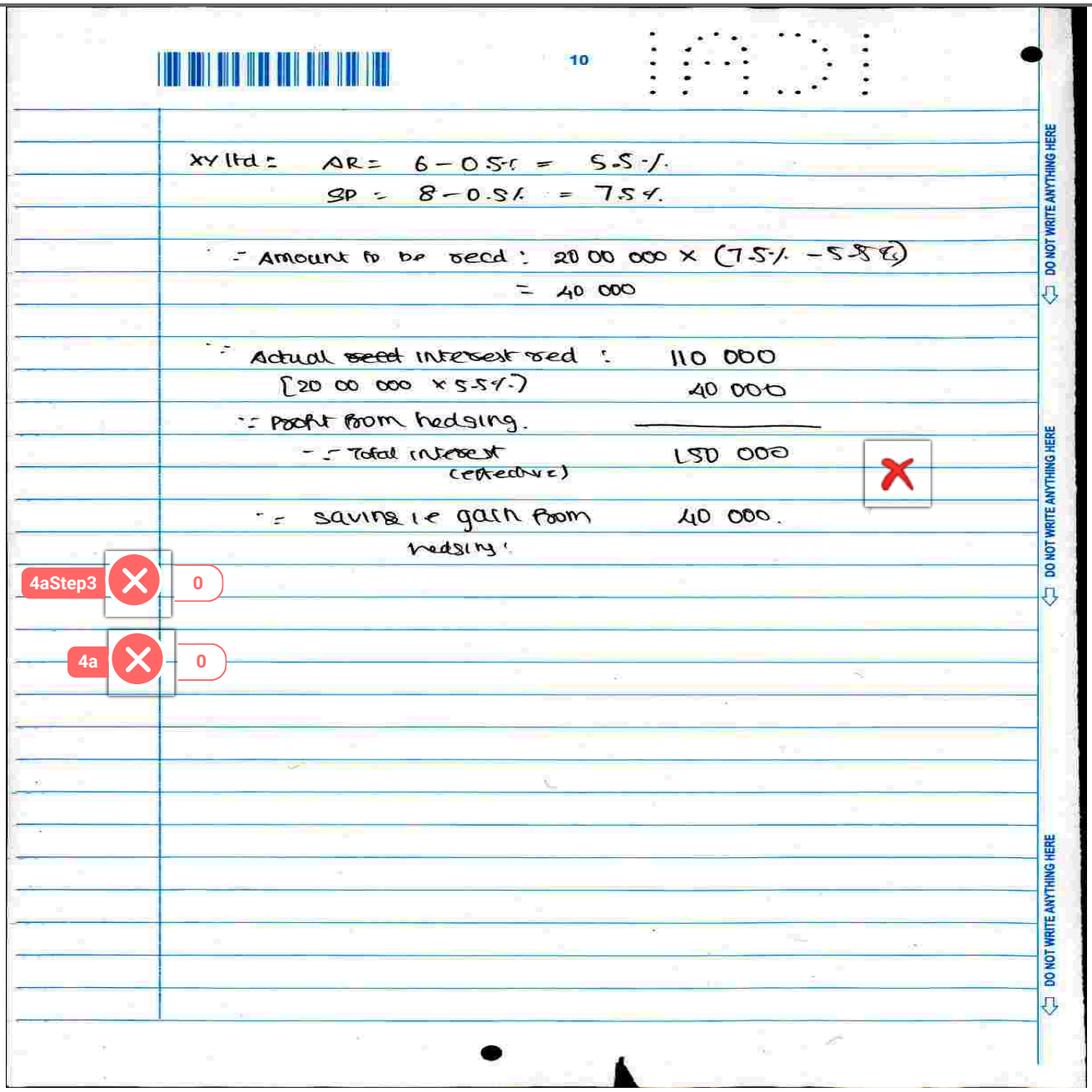
∴ Interest paid on borrowing : 50 00 000 × 10.5 %. pa
= 525 000

∴ net savings : ~~100 00~~
Amount of int if no hedging : 525000
Effective interest paid in hedging : 425 000
[525000 – 100 000] 100 000
savings.

4aStep2 0

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10

XY ltd: AR = 6 − 0.5% = 5.5%.
SP = 8 − 0.5% = 7.5%.

∴ Amount to be recd: 20 00 000 × (7.5% − 5.5%)
= 40 000

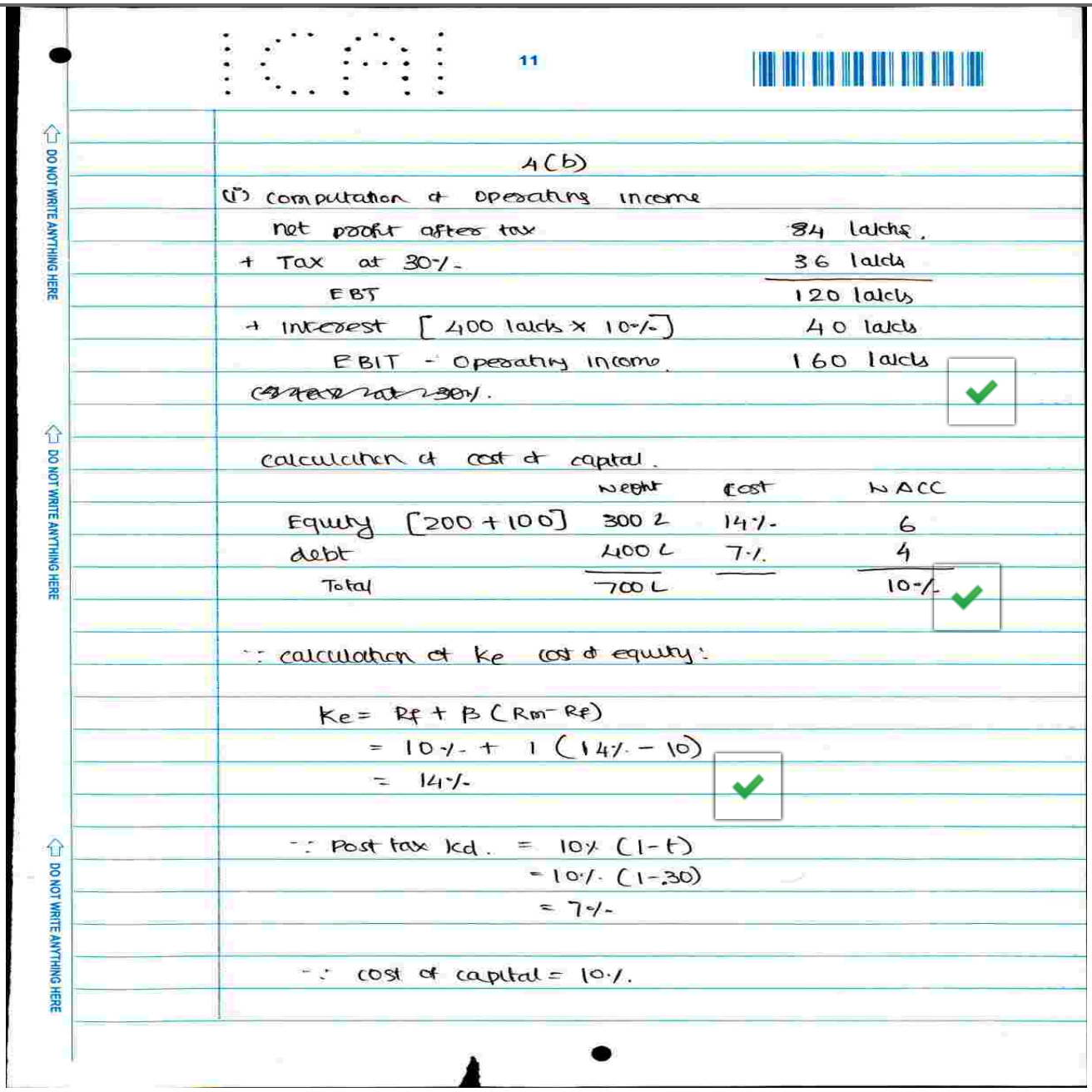
∴ Actual interest recd: 110 000
[20 00 000 × 5.5%) 40 000
∴ Profit from hedging. ———
∴ Total interest (effective) 150 000

∴ saving i.e gain from hedging: 40 000.

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4aStep3 0

4a 0



11

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4(b)

(i) computation of operating income

net profit after tax	84 lakhs.
+ Tax at 30%.	36 lakhs
EBT	120 lakhs
+ interest [400 lakhs × 10%]	40 lakhs
EBIT - Operating income.	160 lakhs

~~Corporate tax 30%.~~

calculation of cost of capital.

	Weight	Cost	WACC
Equity [200 + 100]	300 L	14%	6
debt	400 L	7%	4
Total	700 L		10%

∵ calculation of ke cost of equity:

$Ke = Rf + \beta (Rm - Rf)$

$= 10\% + 1 (14\% - 10)$

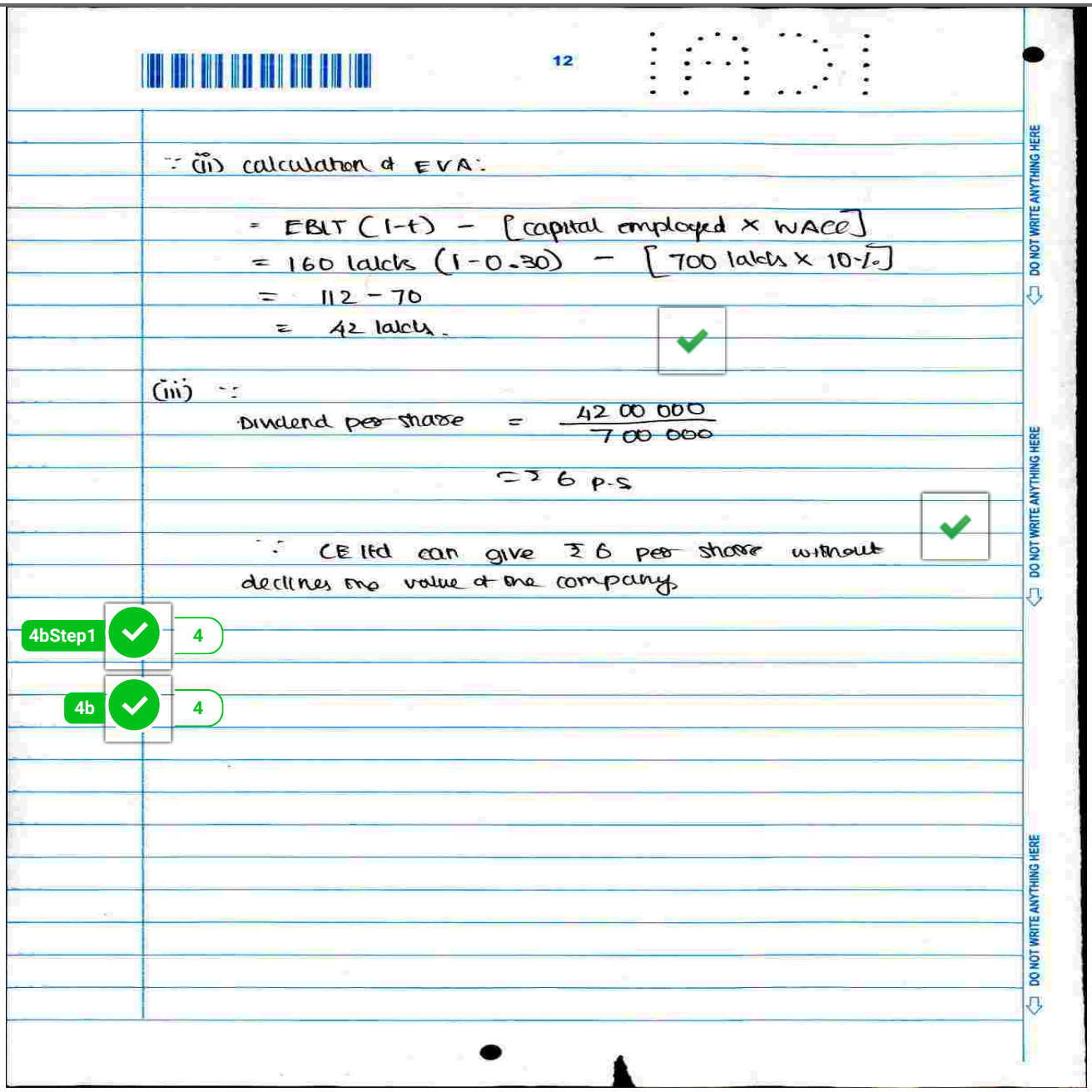
$= 14\%$

∵ Post tax kd. $= 10\% (1 - t)$

$= 10\% (1 - .30)$

$= 7\%$

∵ cost of capital = 10%.



12

(ii) calculation of EVA:

= EBIT (1-t) − [capital employed × WACC]
= 160 lakhs (1-0.30) − [700 lakhs × 10%]
= 112 − 70
= 42 lakh.

(iii)

Dividend per share = 42 00 000 / 7 00 000

⇒ ₹ 6 p.s

∴ CE ltd can give ₹ 6 per share without declines the value of the company.

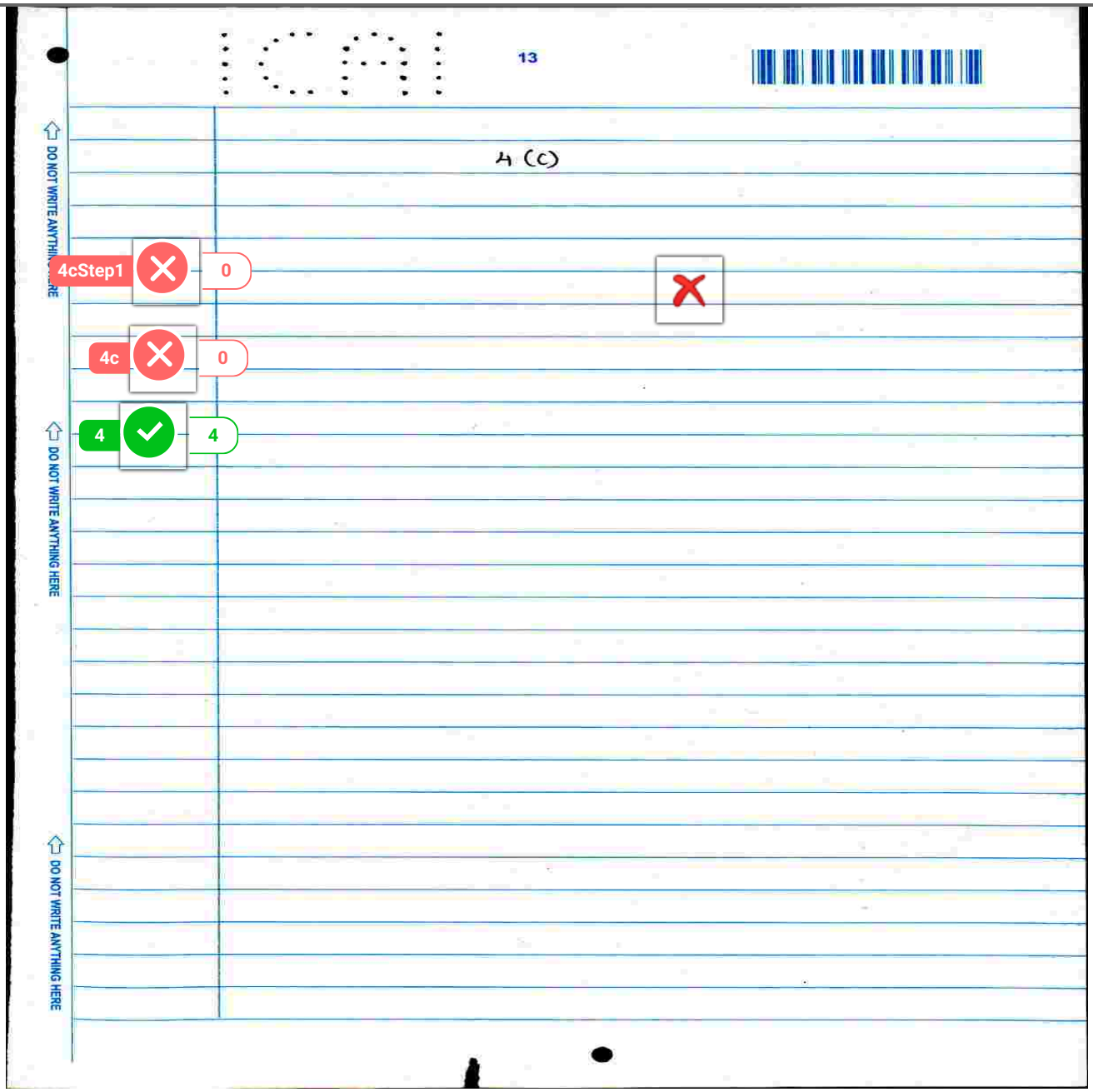
4bStep1 4

4b 4

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14

5(a).

(i) Calculating Treynor ratio. $\left(\frac{R-R_F}{\beta}\right)$

Security	Treynor ratio		Rank
A	$\frac{5-7}{0.5}$	$= -4$	IV
B	$\frac{25-7}{2.5}$	$= 7.2$	III
C	$\frac{15-7}{1}$	$= 8$	I
d	$\frac{10-7}{1.5}$	$= 2$	IV
e	$\frac{20-7}{1.8}$	$= 7.23$	II

5aStep1 2

Ranked Table :

Security	Return	unsystematic risk	Beta	$(\sigma e)^2$	
C	15	10	1	100	0.01
E	20	18	1.8	324	0.0324
B	25	20	2.5	400	0.04
D	10	10	1.5	100	0.01
A	5	25	0.5	625	0.0625

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15

(11) calculating cut off point:-

security	$R-R_f \times \frac{\beta}{\sigma e^2}$	$\Sigma(R-R_f \times \frac{\beta}{\sigma e^2})$	$\frac{\beta^2}{\sigma e^2}$	$\Sigma \frac{\beta^2}{\sigma^2}$	* C
C	0.08	0.08	0.01	0.01	1.6
E	0.07	0.15	0.01	0.02	2.5
B	0.1125	0.263	0.0156	0.0356	3.48
D	0.045	0.308	0.0225	0.0581	3.1396
A	(0.0016)	0.3064	0.0004	0.0585	3.1107

*

Calculation: C

$$C = \frac{25 \times 0.08}{1 + 25 \times 0.01} = \frac{2}{1.25} = 1.6$$

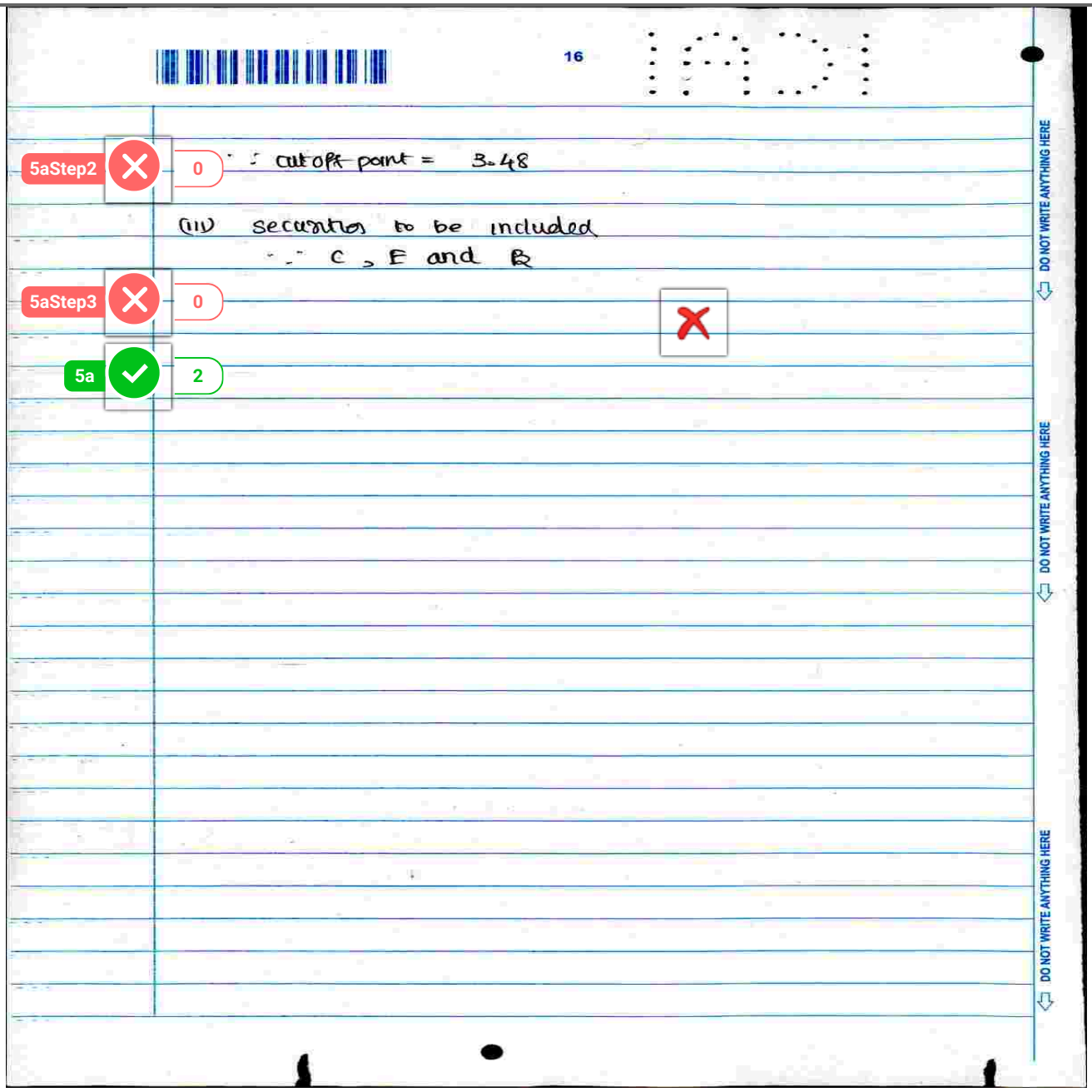
$$E = \frac{25 \times 0.15}{1 + 25 \times 0.02} = \frac{3.75}{1.5} = 2.5$$

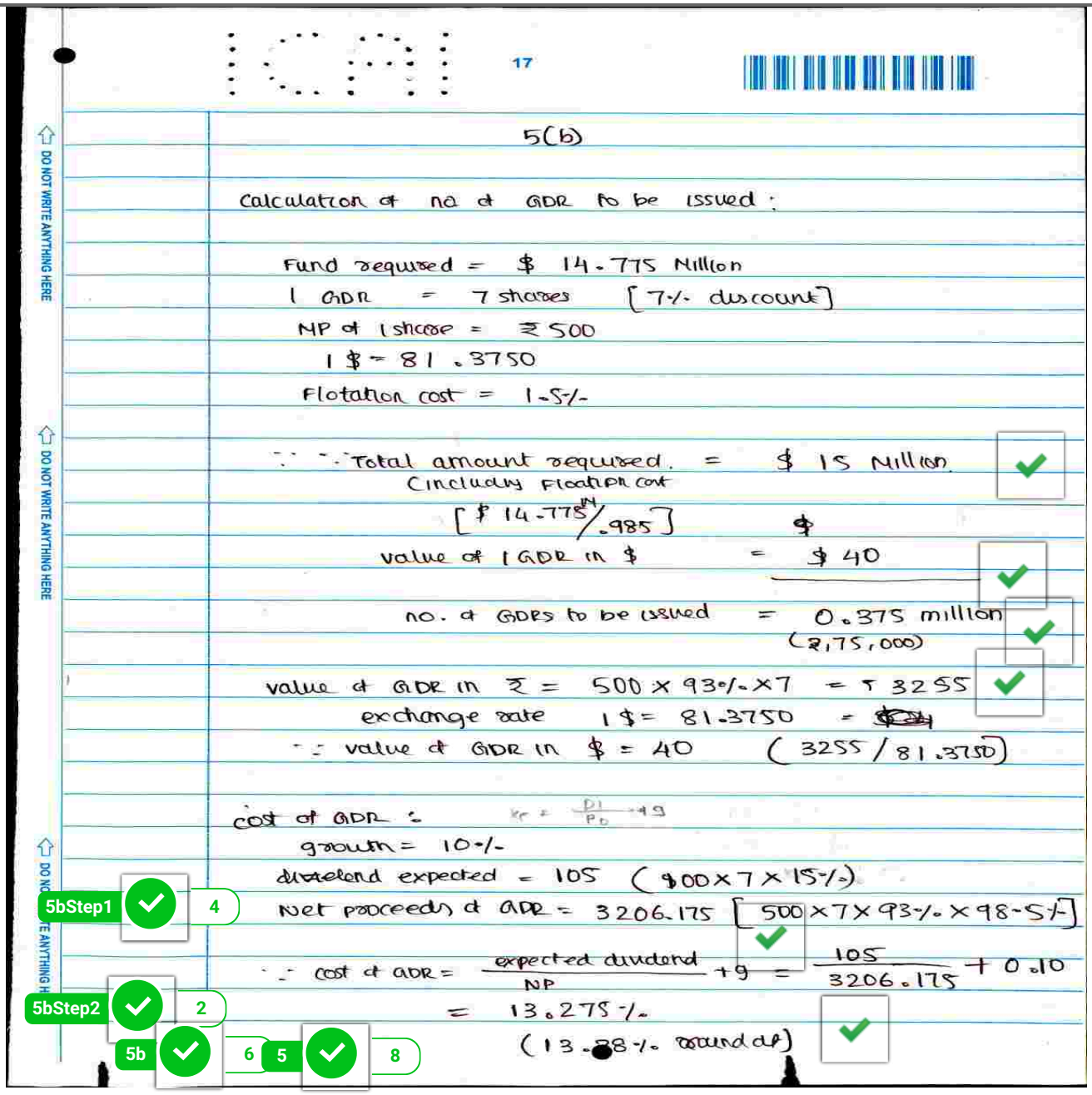
$$B = \frac{25 \times 0.263}{1 + 25 \times 0.0356} = \frac{6.575}{1.89} = 3.48$$

$$D = \frac{25 \times 0.308}{1 + 25 \times 0.0581} = \frac{7.7}{2.4525} = 3.1396$$

$$A = \frac{25 \times 0.3064}{1 + 25 \times 0.0585} = \frac{7.66}{2.4625} = 3.1107$$

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16
5aStep2
0
∴ cut off point = 3.48
(iii) securities to be included
∴ C, E and B
5aStep3
0
5a
2
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17

5(b)

Calculation of no of GDR to be issued :

Fund required = $ 14.775 Million
1 GDR = 7 shares [7% discount]
MP of 1 share = ₹ 500
1 $ = 81.3750
Flotation cost = 1.5%

∴ Total amount required. = $ 15 Million
(including Flotation cost
[$ 14.775 M / .985]

value of 1 GDR in $ = $ 40

no. of GDRs to be issued = 0.375 million
(2,75,000)

value of GDR in ₹ = 500 × 93% × 7 = ₹ 3255
exchange rate 1 $ = 81.3750 =
∴ value of GDR in $ = 40 (3255 / 81.3750)

cost of GDR : $K_r = \frac{D_1}{P_0} + g$
growth = 10%
dividend expected = 105 (500 × 7 × 15%)
Net proceeds of GDR = 3206.175 [500 × 7 × 93% × 98.5%]

∴ cost of GDR = $\frac{\text{expected dividend}}{NP} + g = \frac{105}{3206.175} + 0.10$
= 13.275%
(13.28% rounded off)

5bStep1 4
5bStep2 2
5b 6 5 8

18

6 (a)

Calculation of realised earnings:

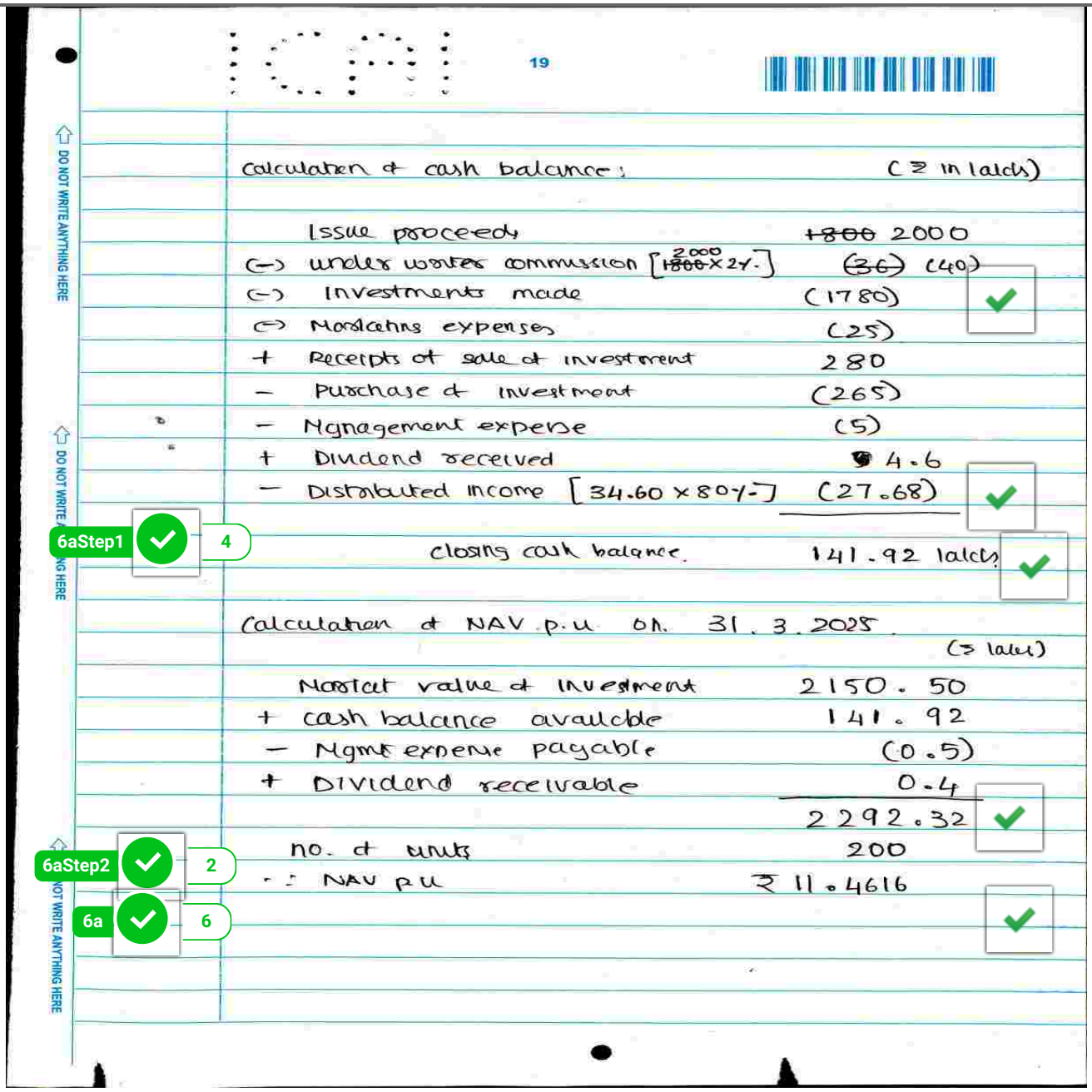
Dividend. [500 000 – 40 000]	4.60
Gain on sale of investments [280 lakhs – 250 lakh]	30
	34.60

Calculation of Mgmt expense – allowed:

Opening investment = 1780 lakhs
Closing investment = 1795 lakh
(1780 + 265 – 250)
∴ Average investment = 1787.50 lakh (1780+1795/2)

∴ Allowable Mgmt exp : 8.9375 lakhs.
(1787.50 × 0.5 %)
∴ Actual ~~Interest~~ expense 5.5 lakhs

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19

Calculation of cash balance: (₹ in lakhs)

	Issue proceeds	~~1800~~ 2000
(–)	under writer commission [$\frac{2000}{1800} \times 2\%$]	~~(36)~~ (40)
(–)	Investments made	(1780)
(–)	Marshalling expenses	(25)
+	Receipts of sale of investment	280
–	Purchase of investment	(265)
–	Management expense	(5)
+	Dividend received	4.6
–	Distributed income [34.60 × 80%]	(27.68)
	Closing cash balance	141.92 lakhs

Calculation of NAV p.u on 31.3.2025

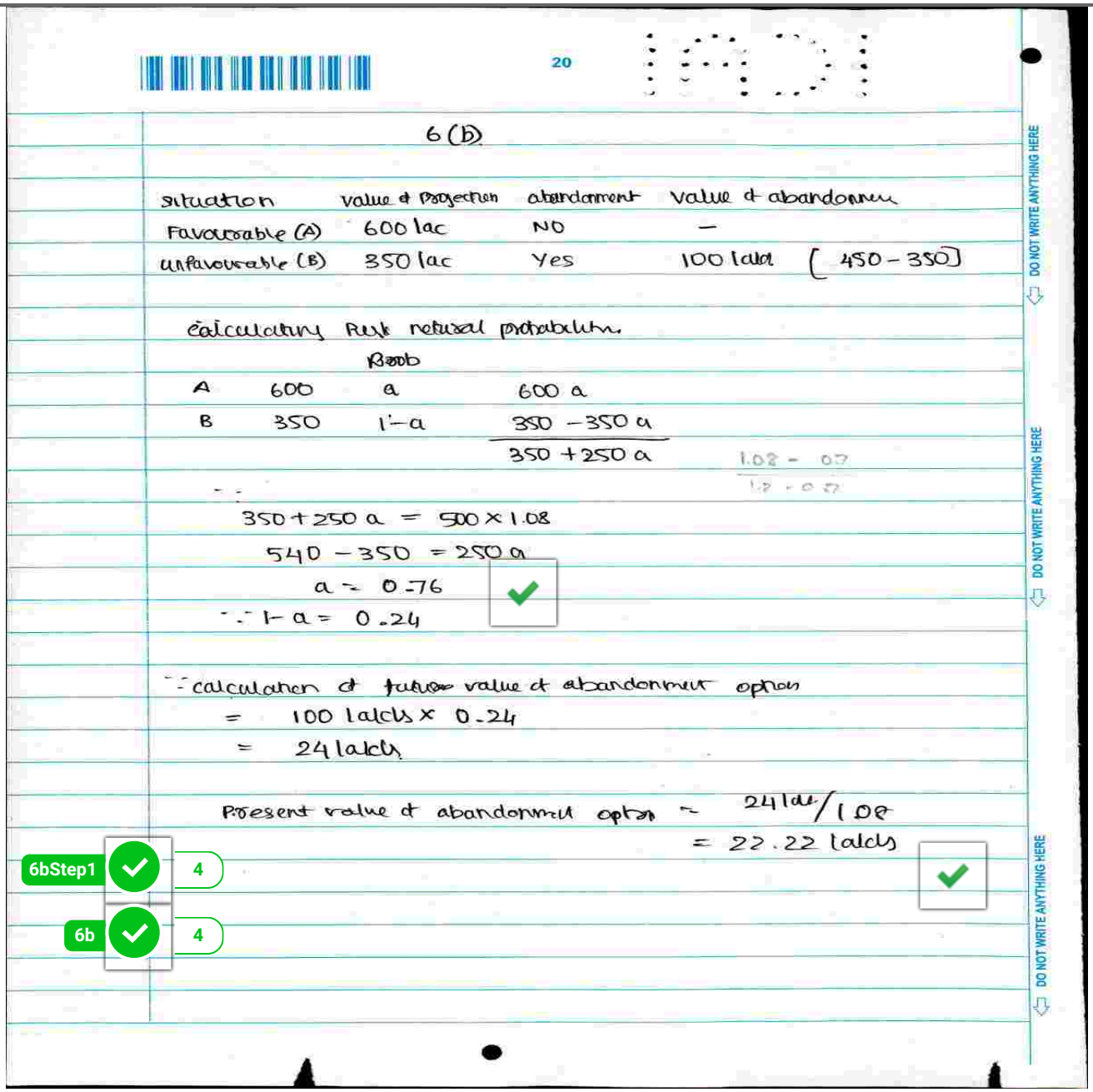
(₹ lakh)

	Market value of investment	2150.50
+	cash balance available	141.92
–	Mgmt expense payable	(0.5)
+	Dividend receivable	0.4
		2292.32
	no. of units	200
∴	NAV p.u	₹ 11.4616

6aStep1 4

6aStep2 2

6a 6



20

6 (b)

Situation	Value @ Projection	abandonment	Value @ abandonment
Favourable (A)	600 lac	NO	–
Unfavourable (B)	350 lac	Yes	100 lakh [450 – 350]

Calculating Risk neutral probability.

		Prob	
A	600	a	600 a
B	350	1–a	350 – 350 a
			350 + 250 a

1.08 – 0.7
1.2 – 0.7

350 + 250 a = 500 × 1.08

540 – 350 = 250 a

a = 0.76

∴ 1 – a = 0.24

∴ calculation of future value of abandonment option

= 100 lakhs × 0.24

= 24 lakhs

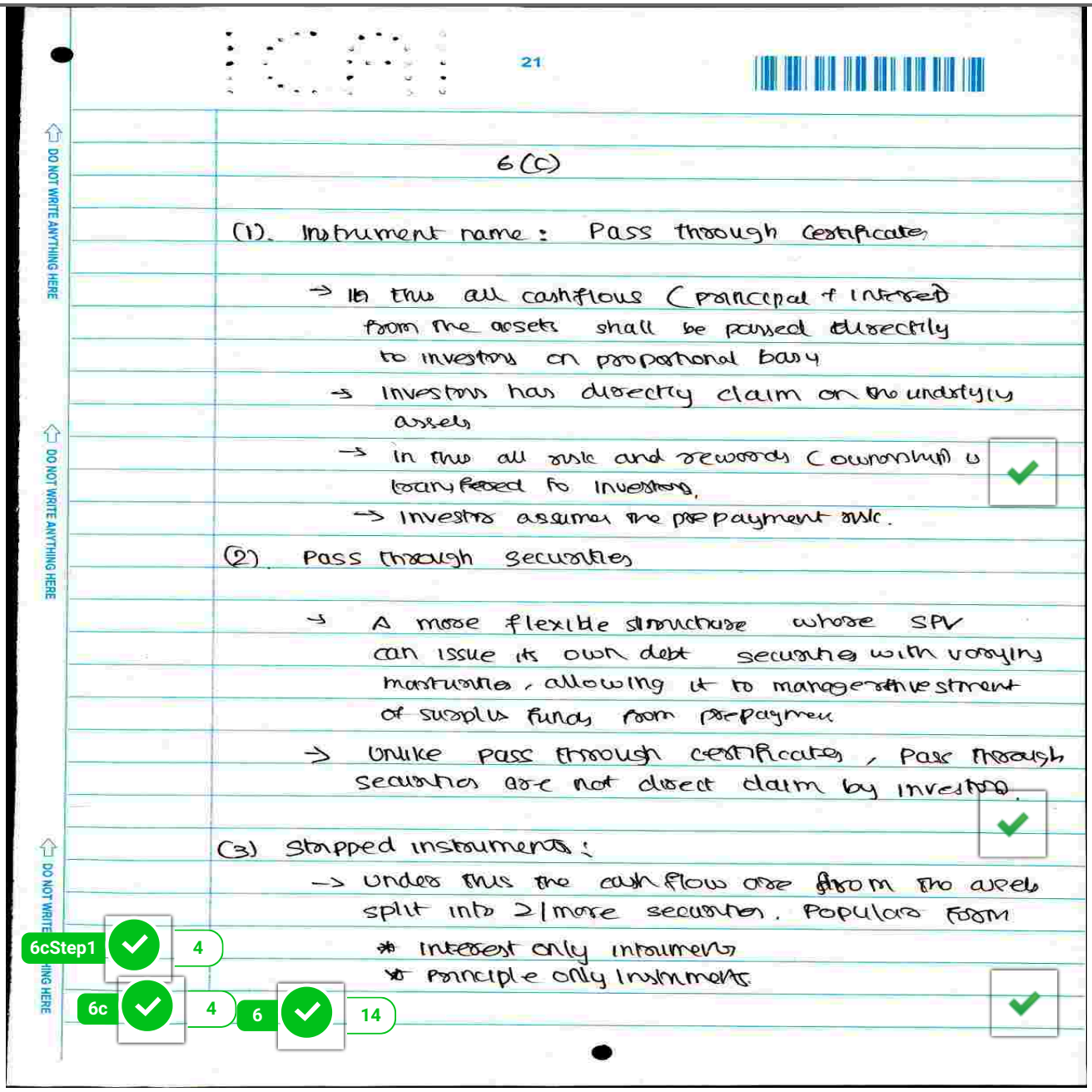
Present value of abandonment option = 24 lakh / 1.08

= 22.22 lakhs

6bStep1 4

6b 4

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21

6(c)

(1). Instrument name : Pass through Certificates

→ In this all cashflows (principal + interest) from the assets shall be passed directly to investors on proportional basis

→ Investors has directly claim on the underlying assets

→ In this all risk and rewards (ownership) is transferred to investors.

→ Investor assumes the prepayment risk.

(2). Pass through Securities

→ A more flexible structure where SPV can issue its own debt securities with varying maturities, allowing it to manage investment of surplus funds from prepayment

→ Unlike pass through certificates, Pass through securities are not direct claim by investors.

(3) Stripped instruments :

→ Under this the cash flow are from the asset split into 2/more securities. Popular form

* Interest only instruments
* Principle only instruments

6cStep1 4

6c 4 6 14

22

1 (b)

T Ltd :

Promoters holding 126 lakhs shares i.e 84%.

∵ Total shares 150 lakh

∵ Free float market cap. = 38.40 crore

∵ Market price per share = ₹ 160
(38.40 cr / 0.24)

Profit after tax = ₹ 9.60 crore

(i) Calculation PE ratio :

∵ PE = MPS / EPS EPS = 9.60 cr / 150 lakh

= 160 / 6.4

= 25 times ✔

(ii) Bonus ratio :

Promoters holding	existing	= 84%	126 lakh
	Desired	75%	24 lakh

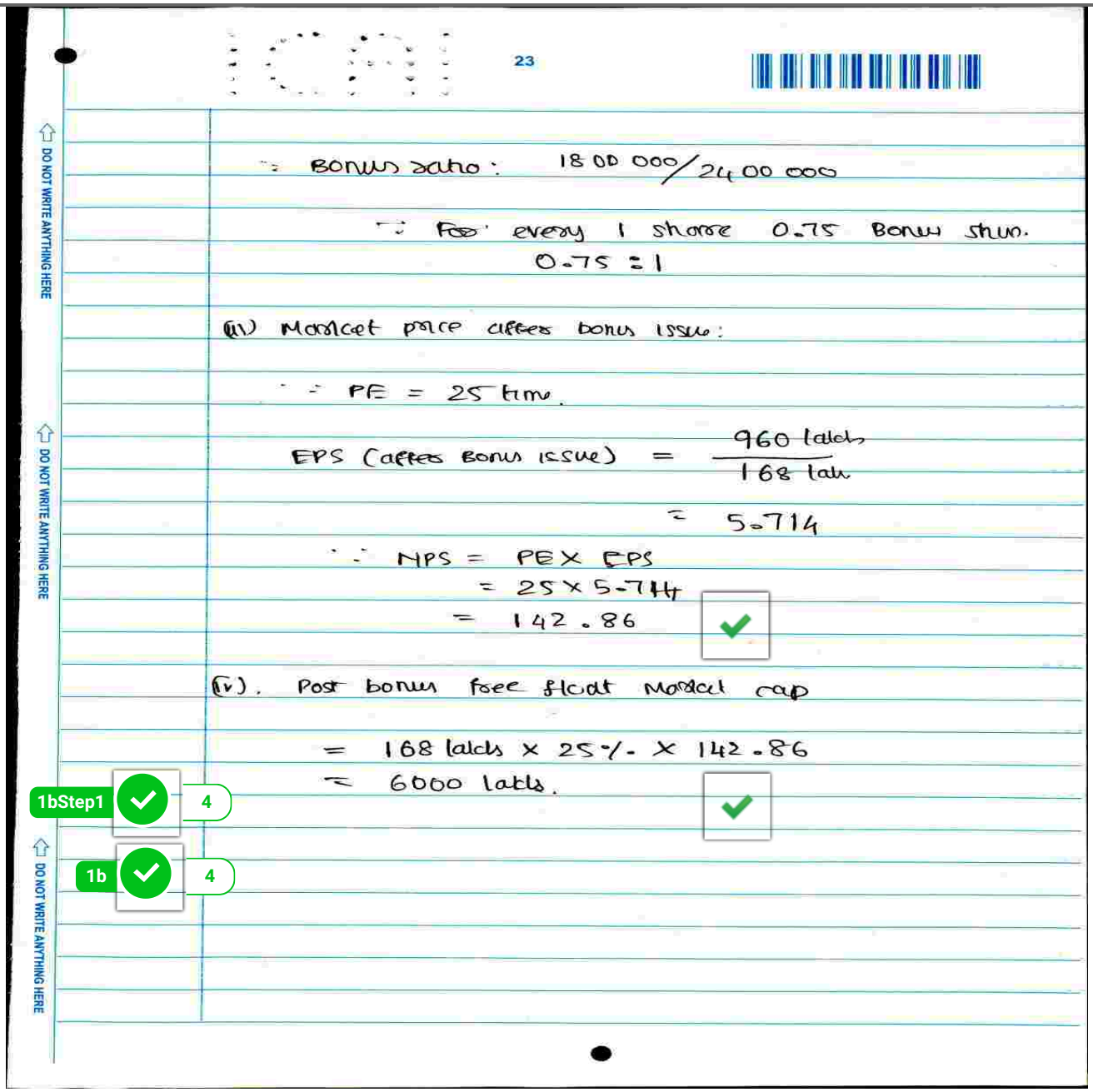
∵ Let x be the no. of bonus shares

(150 + x) × 75% = 126 lakh

150 + x = 168

x = 18 lakh shares. ✔

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23

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∴ Bonus ratio : 1800 000 / 2400 000

∴ For every 1 shares 0.75 Bonus shares.

0.75 : 1

(ii) Market price after bonus issue :

∴ PE = 25 times.

EPS (after Bonus issue) = 960 lakhs / 168 lakhs

= 5.714

∴ MPS = PE × EPS

= 25 × 5.714

= 142.86

(iv). Post bonus free float Market cap

= 168 lakhs × 25% × 142.86

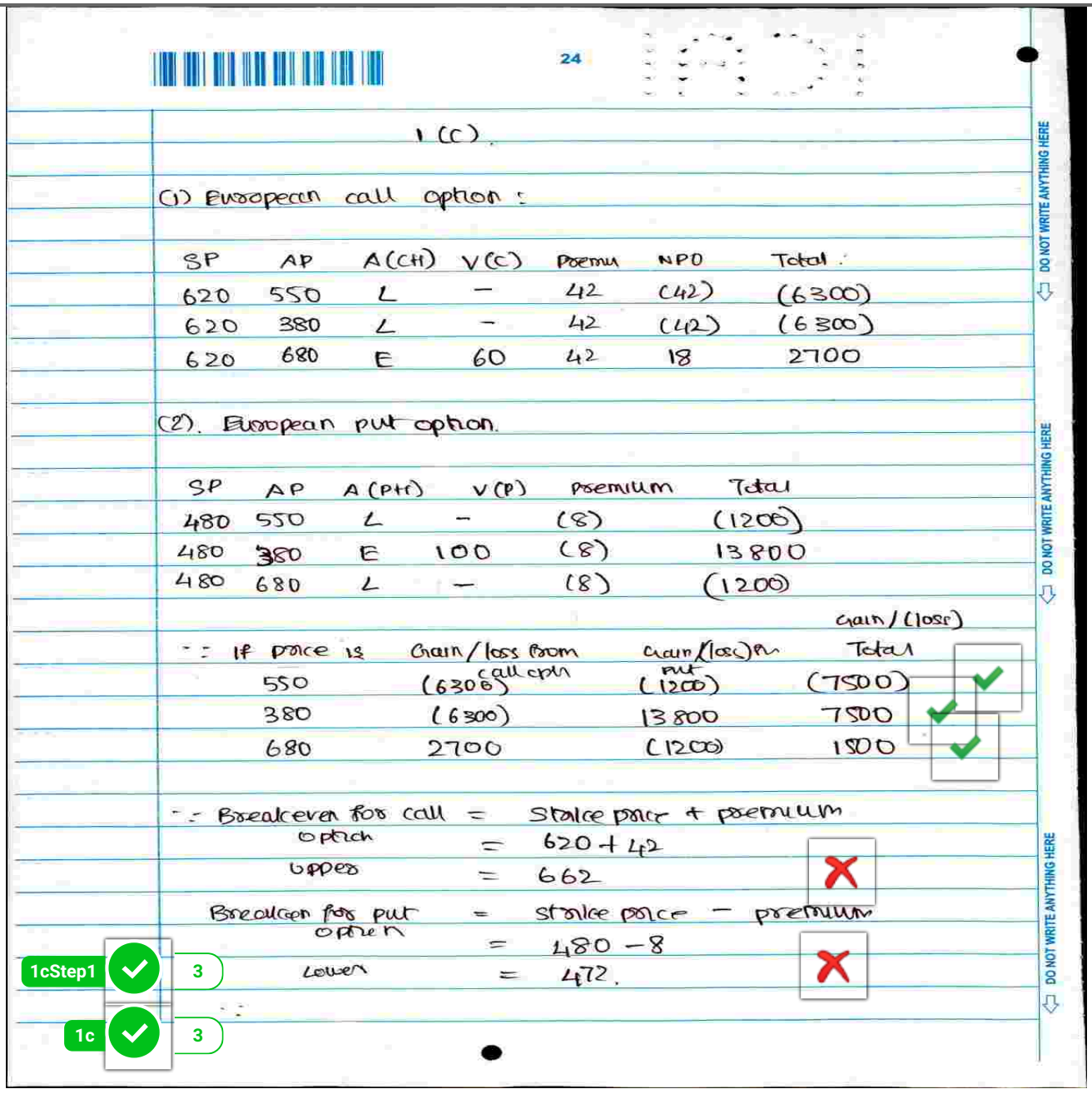
= 6000 lakhs.

1bStep1 4

1b 4

The Institute of Chartered Accountants of India

Code: FN2AF180777 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 44



24

1 (c).

(1) European call option :

SP	AP	A(CH)	V(C)	Premium	NPO	Total
620	550	L	–	42	(42)	(6300)
620	380	L	–	42	(42)	(6300)
620	680	E	60	42	18	2700

(2). European put option.

SP	AP	A(PH)	V(P)	Premium	Total
480	550	L	–	(8)	(1200)
480	380	E	100	(8)	13800
480	680	L	–	(8)	(1200)

∴ If price is

	Gain/loss from call option	Gain/(loss) on put	Gain/(Loss) Total
550	(6306)	(1200)	(7500)
380	(6300)	13800	7500
680	2700	(1200)	1500

∴ Breakeven for call option = Strike price + premium
= 620 + 42
upper = 662

Breakeven for put option = Strike price − premium
= 480 − 8
Lower = 472.

1cStep1 3

1c 3

25

1(a)

Calculation of NAV as on 1.4.19.

Let x be the NAV.

No. of opening units = $\frac{25 \text{ lacs}}{x}$

Bonus shares on 30.9.21 = $\frac{\left(\frac{25 \text{ lacs}}{x}\right)}{4}$

Bonus shares on 30.09.23 = $\frac{\frac{25 \text{ lac}}{x} + \frac{25 \text{ lac}}{\frac{x}{4}} \times 2}{5}$

Annual return = 16.8%

$\therefore \frac{\text{closing units} \times \text{NAV} - \text{Opening unit} \times \text{NAV}}{\text{Opening unit} \times \text{NAV}}$

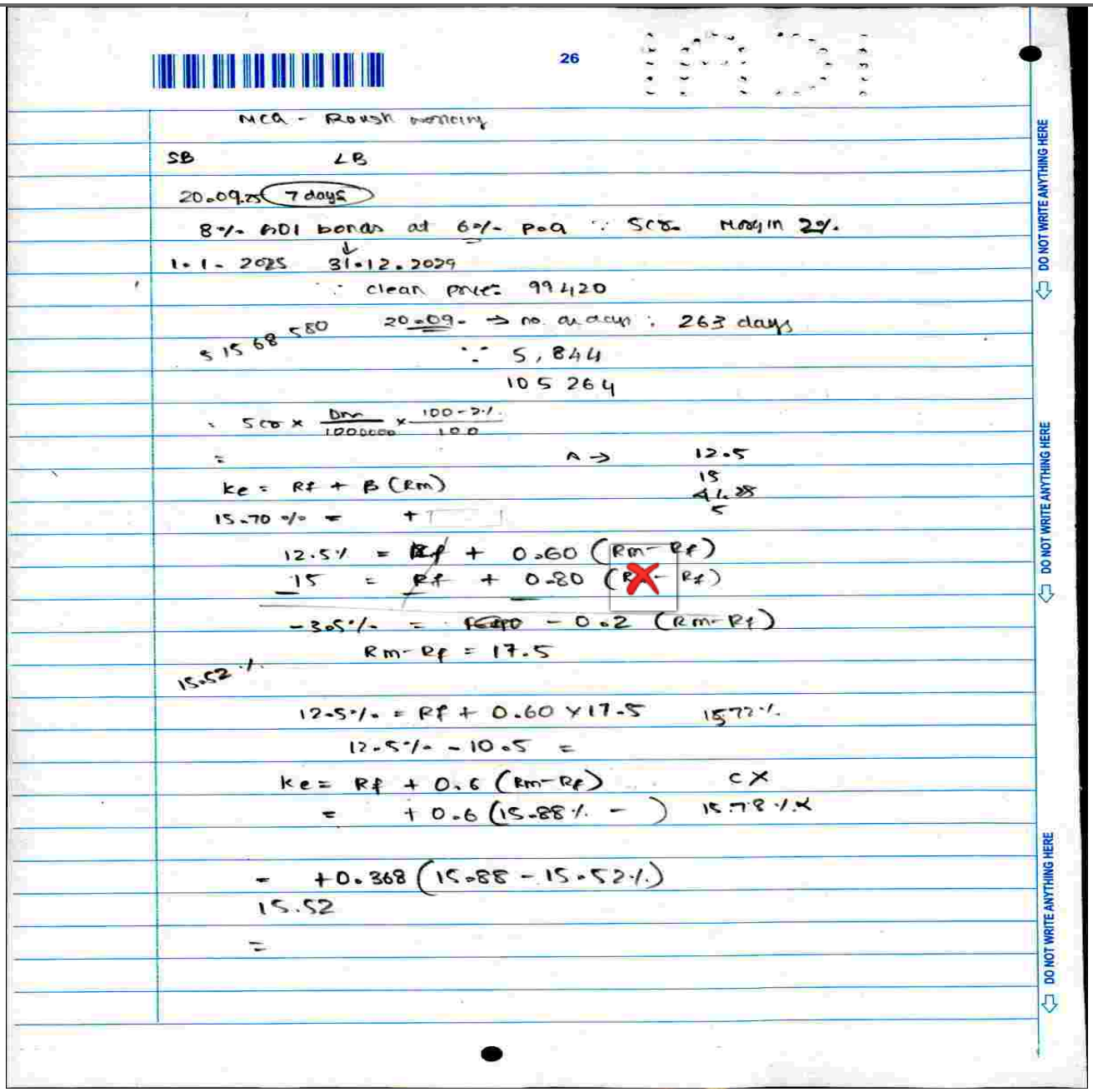
$= 110 \left(x + \left(x + \frac{x}{4}\right) + \frac{\left(x + \frac{x}{4}\right)}{5}\right)$

1aStep1 0

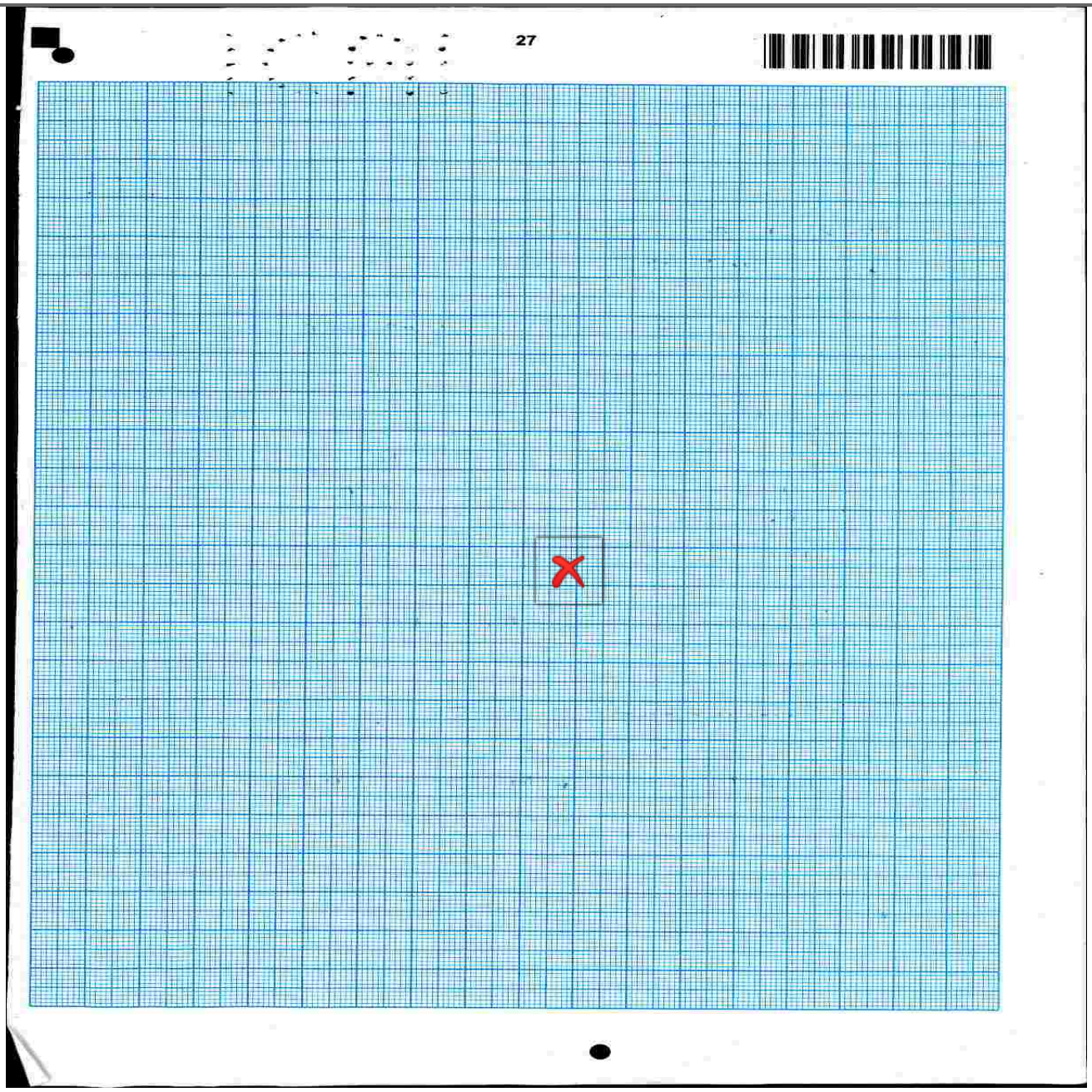
1aStep2 0

1a 0

1 7


26
MCQ - Rough working
SB LB
20.09.25 7 days
8% GOI bonds at 6% P.a ∴ SCB May in 2%.
1.1.2025 31.12.2029
∴ clean price 99420
20.09. → no. of days : 263 days
∴ 5,844
105 264
ke = Rf + β (Rm)
15.70 % = +
12.5% = Rf + 0.60 (Rm - Rf)
15 = Rf + 0.80 (Rm - Rf)
-3.5% = -0.2 (Rm - Rf)
Rm - Rf = 17.5
15.52 %
12.5% = Rf + 0.60 X 17.5
12.5% - 10.5 =
ke = Rf + 0.6 (Rm - Rf)
= + 0.6 (15.88 % -
= +0.368 (15.88 - 15.52 %)
15.52
A → 12.5
15
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
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Code:	**FN2AF180777**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



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